CHAPTER 3

MAKING THE BANKING SECTOR MORE COMPETITIVE

I

The second of the five pillars was to create a more competitive and vibrant banking system. Liberal economists in India though the best way to fix the state-owned portion of the banking system was to privatize it. So long as the public sector banks (PSBs) had an umbilical cord attached to the central government treasury, they would not have the discipline to reform, or so they argued. Others felt that so long as governance in the public sector banking system was improved, there was no need for privatization. Public sector banks could be an important vehicle to implement the government's mandates intended to achieve inclusion and development goals.

My own perspective was somewhere in the middle. I did not believe privatization would be easy or fix the problems of all public sector banks. Perhaps one could start by privatizing one bank and drawing lessons from it – IDBI Bank was often mentioned as a possible candidate because privatization did not require legislative change. Be that as it may, I also felt many of the potential benefits of privatization could be achieved if PSB governance could be improved substantially. At the same time, I did not believe that it was possible to force government mandates only on the public sector banks, especially as the banking sector became increasingly competitive. If the government were, however, to pay banks for carrying out its mandates, there was no reason why private sector banks could not participate. At any rate, knowing that there was little appetite in either the UPA government or the NDA government for the liberal agenda, wholesale privatization was off the table. Within the parameters set by the government, the RBI had to do the best job it could in reforming the banking sector.